NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-II

COMPANY PETITION NO. (CAA)-58(ND)/2020
CONNECTED WITH
COMPANY APPLICATION NO. CA(CAA)-34(ND)/2020

IN THE MATTER OF SCHEME OF AMALGAMATION:

BETWEEN

Priority Vendor Technologies Private Limited

... Applicant /Transferor Company

WITH

C2FO India Technologies Private Limited

... Non-Applicant /Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 29.10.2021

Section 230 To 232 of the Company Act, 2013

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	**:**	**Adv. Shankari Mishra for RD, Adv. Karanveer Jindal and Adv. Vipin Sharma**
For the I.T. Deptt.	**:**	**Adv. Easha Kadian, Adv. Sanjay Kumar**
For the O.L.	**:**	**Adv. Hemlata Rawat and Adv. Aayushmaan Vatsyayana**

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This Petition is preferred by the Transferor Company under Section 230 to 232 of Company Act, 2013 read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as the **'Scheme'** for brevity), as contemplated between the Company, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Company proposed to be amalgamated, as placed on record are given in the following paragraphs.

2. That Priority Vendor Technologies Private Limited, (hereinafter referred to as "Applicant/Transferor Company") was incorporated with CIN U72900DL2009 PTC186510 on 09.01.2009 under the provisions of the erstwhile Company Act, 1956 as a Private Limited company having its registered office 15/1 Asaf Ali Road, Delhi-110002.

3. That the C2FO India Technologies Private Limited, (hereinafter referred to as Non-Applicant"/"Transferee Company") was incorporated with CIN U72900 MH2019FTC328207 on 18.07.2019 under the provisions of the Company Act, 2013 as a private company having its registered office at 2nd Floor, Naman Centre, G Block, Bandra Kurla Complex, Bandra (East), Mumbai, Maharashtra-400051.

4. That the present Application has been filed by the Transferor Company. That the Registered office of the Transferor Company being in Delhi, the jurisdiction lies with this Bench. That since the registered office of the Transferee Company is situated outside Delhi, they shall seek directions from the Bench of the Appropriate Jurisdiction. The directions passed vide this order shall be applicable to the Transferor/ Applicant Company only.

5. From the records, it is seen that the First Motion petition bearing No. CO. APPL. (CAA) 34/ND/2020 was filed by the Applicant Company seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company. That this Tribunal in the First Motion Application vide Order dated 19.02.2020 had dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the Transferor Company.

6. The Appointed date as per clause 1.2 of the Proposed Scheme of Amalgamation is 27.09.2019.

7. Subsequently, the Second Motion petition was moved by the Applicant Company in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Company NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other Objector(s), if any, and also for publication of the said Scheme. Directions were issued, vide Order dated 25.09.2020 of this Tribunal, requiring the Applicant Company to carry out necessary publication with regard to the said Scheme in "Financial Express" (English) and "Jansatta" (Hindi) daily newspapers.

8. It is submitted by the Applicant Company that in compliance to the above stated directions, the Applicant Company has duly filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published in the daily newspapers Financial Express (English) and Jansatta (Hindi) on 08.10.2020.

9. That the RD in its initial report as well as during the hearing held on 03.03.2021 submitted that they were not satisfied with the additional report submitted by the Petitioner and that is the reason they had not given not given "No objection Certificate" to the Scheme.

10. Subsequently, after going through the objections raised by the RD, this Bench has given certain directions to RD (North), RoC and Income tax department on 05.04.2021. The scanned copy of the same is reproduced overleaf:

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

That before adjudicating the present Application on merits, the following clarifications are sought from the concerned parties.

2. That the RD (North) has filed its additional Affidavit dated 10.02.2021, inter alia, observing the following :

> 5. That by considering the reply of the Petitioner Transferor Company *vis-à-vis* the observations of the Deponent as stated above (given in our earlier Affidavit dated 18.01.2021), the observations of the Deponent are as under:
>
> a. As regards the observation given in Para 10(a)(i) & (ii) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company has not given any reply since both of the above are matter of facts, hence, no comments.
>
> b. As regards the observation given in Para 10(a)(iii), (iv) & (v) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company has replied in Para 2(a) of their reply by giving emphasis upon the shareholders' resolution passed on 06.12.2017 under Section 55 of the Companies Act, 2013 read with Companies (Share Capital & Debentures) Rules, 2014 for issue of 1,030 number of Compulsory Convertible Preference Shares (CCPS), which was complied by the company by filing return of allotment (PAS-3) with ROC on 09.01.2018.
>
> c. As regards observation given in Para 10(a)(vi) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company in their reply given in Para 2(a) has admitted that there is an inadvertent error in showing the date of Extraordinary General Meeting (EGM) as on 06.01.2018 which was actually convened on 06.12.2017.

d. As regards observation given in Para 10(a)(vii) of our Affidavit dated 18.01.2021, the Petitioner Transferor Company has furnished their reply in Para 2(b) by stating in detail about the issue and redemption of Preference Shares issued by the company and utilization of proceeds received by issue of shares at high premium. The Petitioner Transferor Company has also stated in their reply about redemption of 1,545 number of CCPS having face value of Indian National Rupee (INR) 200/- each at a premium of INR 51,383.44/- per share aggregating to INR 7,96,94,414.80/- on 18.09.2019 by complying the provisions of Section 52(2)(d) and 55(2)(a) of the Companies Act, 2013. In their reply, the Petitioner Transferor Company has not justified the issue and redemption of shares at high premium which were observed by ROC, NCT of Delhi & Haryana, and also has recommended it to be examined by Income Tax Department. The Deponent is having the same view since the Petitioner Transferor Company has issued shares at high premium even though it has no material turnover in their books of accounts and also has negative Earning per Share (EPS) as evident from the latest Balance Sheets as at 31.03.2018 and 31.03.2019 enclosed with the petition.

3. The Income Tax Department has filed its report dated 02.02.2021, wherein they have given 'no objection' towards the approval of the Scheme. From perusal of the record, it is observed that the Income Tax Department's report precedes the additional Affidavit dated 10.02.2021 filed by the RD (North).

4. Since the Income Tax Department has not commented or filed its report based on the issues raised by the RD (North) vide their additional Affidavit dated 10.02.2021, we consider it appropriate to direct the RD (North) to supply documents, namely, its Report dated 18.01.2021, its additional Affidavit dated 10.02.2021 along with a copy of the Rejoinder dated 25.01.2021 filed by the Applicant Company, within one week from today to the Income Tax Department to enable them to examine the matter.

5. The Income Tax Department is directed to examine the matter in the light of the observations and issues raised by the RD (North) and file its independent report with a clear recommendation on the Scheme by way of an additional affidavit within two weeks from the date of receipt of the documents from the RD (North).

6. The RD (North) and RoC are further directed to clearly indicate to this Bench whether the Scheme proposed by the Applicant Companies is in violation of any of the provisions of Companies Act, 2013 or any

other provision of law. The RD (North) and RoC are directed to file its report by way of an additional affidavit with a clear recommendation with regard to approval or otherwise of the Scheme within one week from today.

7. That since the Registered office of the Transferee Company is in Mumbai, the Applicant Company is also directed to apprise this Bench about the status of Approval of the Scheme by the Mumbai Bench of NCLT by filing an additional affidavit stating the requisite facts within 7 days from today.

8. The matter is accordingly de-reserved. List the matter on 28.04.2021.

-Sd-

(L. N. Gupta)
Member (T)

-Sd-

(Abni Ranjan Kuma Sinha)
Member (J)

11. That subsequent to the aforesaid order, the RD (North) has filed its Affidavit on 13.08.2021 wherein, they have submitted that "*On perusal of the contention of scheme along with reply of the Petitioner Companies and the report of the RoC Delhi dated 06.08.2021, it is to submit that the Transferor Company has complied with the provisions of section 55 and Section 48 of the Companies Act, 2013 as evident from the report of RoC and information available on the MCA Portal being the Transferor Company have filed the requisite documents.....*". In the light of the above, the RD has recommended that this Tribunal may consider its submissions and decide the matter. The scanned copy of the relevant extracts of the Affidavit filed by the RD (North) on 06.08.2021 are reproduced overleaf :

➢ The company has filed eform MGT-6 on 24.01.2020 and MGT-7 on 31.12.2020 in terms of the provisions of section 89 and 92 of the Companies Act, 2013 respectively which *inter alia* reflect that the Transferor Company became a wholly owned subsidiary of captioned Transferee Company w.e.f. 27.09.2019.

6. On examination of the Scheme and the reply submitted by the Petitioner Companies, the observations of the Deponent are as under:
On perusal of contention of scheme along with reply of the Petitioner Companies and the report of the ROC Delhi dated 06.08.2021, it is to submit that the Transferor Company has complied with the provisions of section 55 and Section 48 of the Companies Act, 2013 as evidence from the report of ROC and information available on the MCA Portal being the Transferor Company have filed the requisite documents i.e. MGT – 14, MGT- 6 and MGT – 7 in the e-registry of MCA. In view of the above the Hon'ble Tribunal may kindly consider the above submission and the matter may be decided on its merit.

The above submissions are made in para 1 to 6 above after having examined the scheme, reply of Petitioner companies and Registrar of Companies for kind consideration of Hon'ble NCLT for passing of orders as may be deemed fit and proper in the facts and circumstances of the case.

DEPONENT

VERIFICATION

I, Dr. Raj Singh, Regional Director (NR), the Deponent above do solemnly verify and affirm that the contents of Affidavit in para 1 to 6 are true to the best of my knowledge and belief and have been made believing it to be true.

Verified this day of August, 2021 at New Delhi.

DEPONENT

12. The Income Tax Department has also filed its report dated 02.09.2021, the scanned copy of which is reproduced below:

After considering the order dated 05/04/2021 passed by Hon'ble NCLT, New Delhi in CP (CAA) no. 58/ND/2020, in the matter of amalgamation of Priority Vendor Technologies Pvt. Ltd. with C2FO India Technologies Pvt. Ltd, the report is resubmitted:-

Report in response to the notice issued to Income Tax Department u/s 230 & 232 of the Companies Act, 2013 to propose the scheme of arrangement/ amalgamating/demerger		
Sl. No.	Important Components of the Proposal	Observation of the AO
1.	Name of Company in relation to which this report is submitted	Priority Vendor Technologies Private Limited
2.	Details of proposal	SCHEME OF MERGER BY ABSORPTION BETWEEN PRIORITY VENDOR TECHNOLOGIES PRIVATE LIMITED (Transferor Company) AND C2FO INDIA TECHNOLOGIES PRIVATE LIMITED (Transferee Company)
3.	Details of appointed date and effective date	**Appointed Date:-27.09.2019** **Effective Date:-**The Scheme shall come into effect from (a) the Appointed Date; or (b) such other appointed date as may be approved by the Hon'ble NCLT or any other competent authority having power to sanction the scheme.
4.	Details of rationale and benefit as stipulated in the scheme.	The Merger by Absorption shall result in the following benefits: (i) The amalgamation will result in the consolidation of the business operations undertaken by the Transferor Company and Transferee Company. (ii) The amalgamation will form part of the same management and their business objectives are similar. Thus with a view to achieve the main objective of consolidation of business carried on by the Transferor Company and in order to maintain a simple corporate structure and eliminate duplicate corporate procedures, it is desirable to merge all the Undertakings of the Transferor Company into the Transferee Company. The amalgamation of all the Undertakings of the Transferor Company into the Transferee Company shall facilitate consolidation of all the Undertakings in order to enable effective management and unified control of operations. Further, the amalgamation would create economies in administrative and managerial costs by consolidating operations and would substantially reduce duplication of administrative responsibilities and multiplicity of records and legal and regulatory compliances; (iii) The amalgamation of the Transferor Company into the Transferee Company with effect from the Appointed Date is in the interest of the shareholders, creditors, employees and other

		stakeholders of the Transferor Company and the Transferee Company. The Scheme of Merger by Absorption is neither a scheme for debt restructuring nor any proposal to restructure or vary the debt obligation of the Transferor Company or the Transferee Company towards their respective creditors. Further, there is no likelihood that any creditor of either the Transferor Company or the Transferee Company will be prejudiced as a result of the Scheme. The proposed Scheme will neither impose any additional burden nor adversely affect the interests of any class of shareholders or creditors of either the Transferor Company or the Transferee Company. It is hereby clarified that the intended Scheme is only for the amalgamation of the Transferor Company into the Transferee Company and is not an arrangement with the respective creditors.
5.	Object Clause contained in the Memorandum of Articles of the Applicant Company.	Object clauses of the Transferee Company are reproduced hereunder: *"(i) To engage in the business of research, development, import, export, purchase, trade of software and provision of services in the field of information technology and technology enabled applications including, but not limited to, mobile applications, web applications, software as a service (Saas) including providing a marketplace/platform to enable optimization of working capital any other financial ratio(s) in and outside India.* *(ii) To design, develop and supply software, software tools, firmware, library, CDs magazines and deal in import and export thereof and to advise, assista and render services for software, firmware, repair, maintenance, application programming, system studies I.T. enabled services, data conversion, networking solutions internet services, cloud computing/storage, call centers, internet telephony and software tools and to operate training centers.* *(iii) To carry on the business of procuring, developing and supplying technical know-how,patents, inventions, drawings, and other scientific formulae and processes for the manufacture and processing of software and hardware goods and materials and for the installation of or erection of machinery or plant for such manufacturing and processing and/or rendering services in connection with the provisions of such technical know-how in connection with the computer business."*

6.	Details of the business in which the applicant companies are presently engaged and whether there is any synergy in the business.	The Transferor Company is engaged in the business of : *(i) To design, develop and supply software tools, firmware, library, CDs, magazines and deals in import and export thereof and to advise, assist and renders services for software, firmware, repair, maintenance, application programming, system studies I.T. enabled services, data conversion, networking solutions internet services, call centers, Internet telephony and software tools and to operate training centers.;* *(ii) To carry on the business of procuring, development and supplying, technical know-how patents, inventions, drawings and other scientific formulae and processes for the manufacture and processing of software and hardware goods and materials and for the installation of or erection of machinery or plant for such manufacturing and processing and or rendering services in connection with the provisions of such technical know how in connection with the computer business."* Pursuant to the scheme of merger by absorption becoming effective, the Transferor Company shall stand vested in the Transferee Company and the entire business shall be carried on solely by the Transferee Company.
7.	Details of any proceedings perding against applicant companies uncer the Income Tax Act.	No Assessment proceedings is pending in the case ofPriority Vendor Technologies Private Limited.
8.	Details of tax demand pending for recovery from applicant companies' ('Specify year wise amount outstanding)	NIL
9.	Whether any significant information received from NMS/AIR etc.	No
9.1	Details of pendency of investigation/inquiry proceedings, if any.	No investigation/inquiry proceedings are in progress.
9.2	Whether any proceedings are contemplated any provisions of the IT Act.	No
10.	Whether proposed scheme envisages/will impact allowability of carry forward of business losses or unabsorbed depreciation or any other benefits under the IT Act. If yes quantify the amount of tax effect. Compliance of Section 72A	No

11.	In case of reverse merger where loss making company continues to exist and profit making company dissolves to reduce its tax. What is the specific reason(s) for continuation of loss making company? Quantum of tax effect of such reverse merger. (Usually after the sanction of the scheme the loss making after some time changes its name to profit making company) Examine w.r.t. applicability of provision of GAAR.	Not Applicable
12.	In case of demerger: Whether all assets and corresponding liabilities of the demerged undertaking are being transferred or not. As per requirement of Section 2(19AA) Examine w.r.t. Sec. 72A(5) Whether clear cut demarcation/specifics of demerged undertaking and remaining undertaking are given in the scheme or not. Whether complete details of assets and liabilities of demerged undertaking and remaining undertaking are provided in the scheme, if not given ask for the same. Whether separate profit and loss account of the demerged undertaking and the remaining undertaking are provide in the scheme or not, if not given ask for the same. In case of business losses and unabsorbed depreciation, quantify: the losses and unabsorbed depreciation which is directly relatable to demerged undertaking Loss and unabsorbed depreciation which is proportionate to the assets of the demerged undertaking and remaining undertaking. In case details are not available please seek the detailed financials of the applicant companies.	Yes, all assets and corresponding liabilities of the Transferor Company are being transferred as per requirement of Section 2(194A). Yes, refer annexure Yes, refer annexure Yes, refer annexure Nil.
13.	Whether the proposed scheme will have any impact of exemption of capital gain tax?	No
14.	Whether proposed scheme will have	No

	any impact of exemption of dividend distribution tax.	
15.	Whether in view of the Assessing Officer, Prime facie GAAR provisions appear to be attracted in the scheme of the arrangement. If yes, the reasons thereof.	No
16.	If possible, quantum of tax evaded which is proposed to be avoided through the scheme of arrangement.	N.A.
17.	Comments on Valuation Report attached to the scheme after considering disclaimer if any given by an expert.	Nil
18.	Comments on share exchange/swap ratio attached to the scheme after considering the disclaimer.	No
19.	Details of ITRs filed by the company.	The company has filed its ITR up to AY 2019-20.
20.	Details of receipts of the Notice.	04.08.2021
21.	Date of present report.	11.08.2021
22.	Remarks about objection to the scheme or any representation to NCLT to protect the interest of Revenue.	There is no objection to the proposed scheme.

(Diwakar Singh)
DCIT, Circle-19(1), New Delhi

13. From perusal of the aforesaid report of the IT Department, we observe that the IT Department has not given any comments in its report on the observations made by the RD in the Additional Affidavit dated 10.02.2021 despite opportunities. However, at Serial No. 22 of the report, the Income Tax Department has given its clear no objection to the proposed Scheme.

14. Further, the statement of "no observation" from the Official Liquidator has also been recorded in the order of this Tribunal dated 29.11.2019.

15. That in the course of hearing on 03.09.2021, Ld. Counsels appearing for the RD, Income Tax Department and OL submitted that they have no objection towards approval of the Scheme, so far as the Transferor Company is concerned.

16. Since all the regulators have given no objection towards the Scheme, we would like to proceed ahead.

17. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of the Applicant Company to the proposed Scheme and no objections given by the Regional Director (North), Income Tax Department and OL, there does not appear to be any impediment in granting sanction to the proposed Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Company under Section 230 to 232 of the Company Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor/Applicant Company and their Shareholders and Creditors. The Applicant Company shall remain bound to comply with all the statutory requirements in accordance with law.

18. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Applicant Company.

19. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax

Act, 1961 or serve as any exemption or defense for the Applicant Company against tax treatment in accordance with the provisions of Income Tax Act, 1961.

20. As regards the investment in equity share capital of the Transferor Company, it is averred in the Scheme that :

> "***6. <u>Accounting Treatment</u>***
>
> *6.1*
>
> *c) The investments in equity share capital of Transferor Company in the financial statements of the Transferee Company shall stand cancelled since the Transferor Company is a wholly owned subsidiary of the Transferee Company with 100% shareholding (along with its nominee).*"

21. That subject to the approval of the Scheme in respect of the Transferee Company by the Bench of appropriate Jurisdiction, this Tribunal directs with respect to the Transferor Company that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 27.09.2019, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand

transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

22. That the Applicant Company shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Applicant Company shall be consolidated accordingly.

23. The Company Petition is **ALLOWED** in the aforesaid terms with regard to the Transferor Company only.

-Sd-

(L. N. GUPTA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)